Earnings update

Eli Lilly Q3 2026: volume drives a beat and raise at 26x

29 October 2026 · Syz Research

> **"Lilly had another strong quarter, exceeding our prior expectations and allowing us to raise our full-year outlook. Revenue growth was driven by broad global consumer demand for Mounjaro and Zepbound…"**
>
> David A. Ricks, chair and CEO, Q3 2026 results release, 29 October 2026

Eli Lilly develops medicines for diabetes, obesity, cancer, immune disorders and Alzheimer's disease. Mounjaro and Zepbound made up 66% of Q3 2026 revenue of USD 24.4bn; the US accounts for 62%. Listed in New York.

Key takeaways

Beat Revenue USD 24.4bn (+8% vs. consensus) and EPS USD 7.48 (+32%); shares up 8.2% intraday on 29 October.

Raised 2026 revenue guide raised by USD 5.5bn to USD 91 to 92bn; the implied Q4 looks cautious.

Watch About USD 0.9bn of one-offs flattered revenue, and realised prices fell 15% as cheaper channels grow.

Valuation 26.2x 12m-forward earnings, in line with the 26.3x average since 2018, for 39% revenue growth.

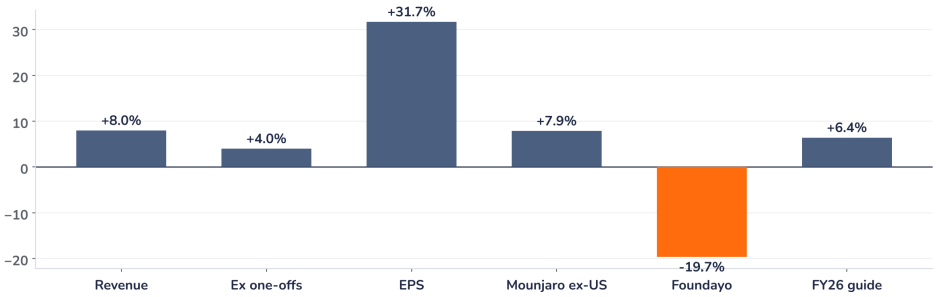
Revenue	Non-GAAP EPS	Gross margin (non-GAAP)	2026 revenue guide
USD 24.4bn	**USD 7.48**	**84.4%**	**USD 91–92bn**
+8.0% vs. consensus	+31.7% vs. consensus	+100bp vs. expectations	+USD 5.5bn at midpoint

Volume carries the quarter and the guidance

Revenue beat consensus by 8% and non-GAAP EPS by 32%, and the shares rose 8.2% intraday on 29 October to a record USD 1,393. The move matches the size of the beat and of the USD 5.5bn guidance raise. Volume grew 53% and absorbed a 15% fall in realised prices: demand for Mounjaro and Zepbound keeps widening the earnings base faster than price erodes it.

Chart 1 · LLY: Q3 2026 results vs. consensus

Surprise vs. consensus, % · ex one-offs strips about USD 0.9bn of non-recurring revenue · FY26 guide: midpoint vs. prior guide



Half of the revenue beat came from one-offs: USD 410m of Jardiance milestones, the last ones, and about USD 490m of rebate and discount adjustments. Stripped of both, revenue still beat by 4%. International Mounjaro gave the cleanest upside, 8% above consensus. Foundayo, the new oral GLP-1, missed by 20% at USD 184m.

Base case and implications

The case remains very constructive and the risk/reward skewed to the upside. We underwrite 2026 revenue in the top half of the USD 91 to 92bn range and EPS of about USD 35.50 after USD 4.57 per share of acquired research charges. For 2027 the open point is price: volume has to keep outrunning price cuts as Medicare and lower-priced channels expand. The retatrutide filing in Q1 2027 is the next catalyst, and the Q4 print with first 2027 guidance is the next test.

What would strengthen our view

Q4 revenue above USD 24.8bn, the top of the implied range; international Mounjaro adding another USD 0.5bn on Q3; the retatrutide filing on time in Q1 2027; realised price declines easing below 10% a year.

What would change our view

US realised price falling faster than 7% a year without matching volume; Foundayo missing consensus again in Q4; a retatrutide filing slipping beyond Q1 2027; new US rules capping obesity drug prices in Medicare.

Beyond the key takeaways

Results: volume did the work

Worldwide volume rose 53% and realised prices fell 15%. In the US, volume grew 41% at a 7% lower price; outside the US, volume rose 76% at a 29% lower price, as launches reach lower-priced markets. Mounjaro sales reached USD 10.7bn (+65%), of which USD 5.7bn came from outside the US (+93%), more than USD 570m above Q2 and USD 415m above consensus. Zepbound added USD 5.4bn (+49%) on wider US coverage and a ramp in Medicare. Key products in oncology, immunology and neuroscience doubled. Non-GAAP gross margin reached 84.4%, 80bp above Q3 2025 and about 100bp above expectations, the main reason EPS beat by more than revenue.

Revenue beat consensus by 8% and EPS by 32%, and the shares rose 8.2% intraday on 29 October against the 28 October close of USD 1,288: surprise and reaction are aligned. The confirmed drivers are the USD 5.5bn raise to revenue guidance and a 250bp lift to the performance margin guide, now 52.0 to 52.5%. About USD 0.9bn of revenue will not repeat, and no further Jardiance milestones remain. EPS of USD 7.48 already absorbs USD 4.57 per share of acquired research charges. We read the rally as a response to the underlying trend, with revenue 4% ahead of consensus after one-offs.

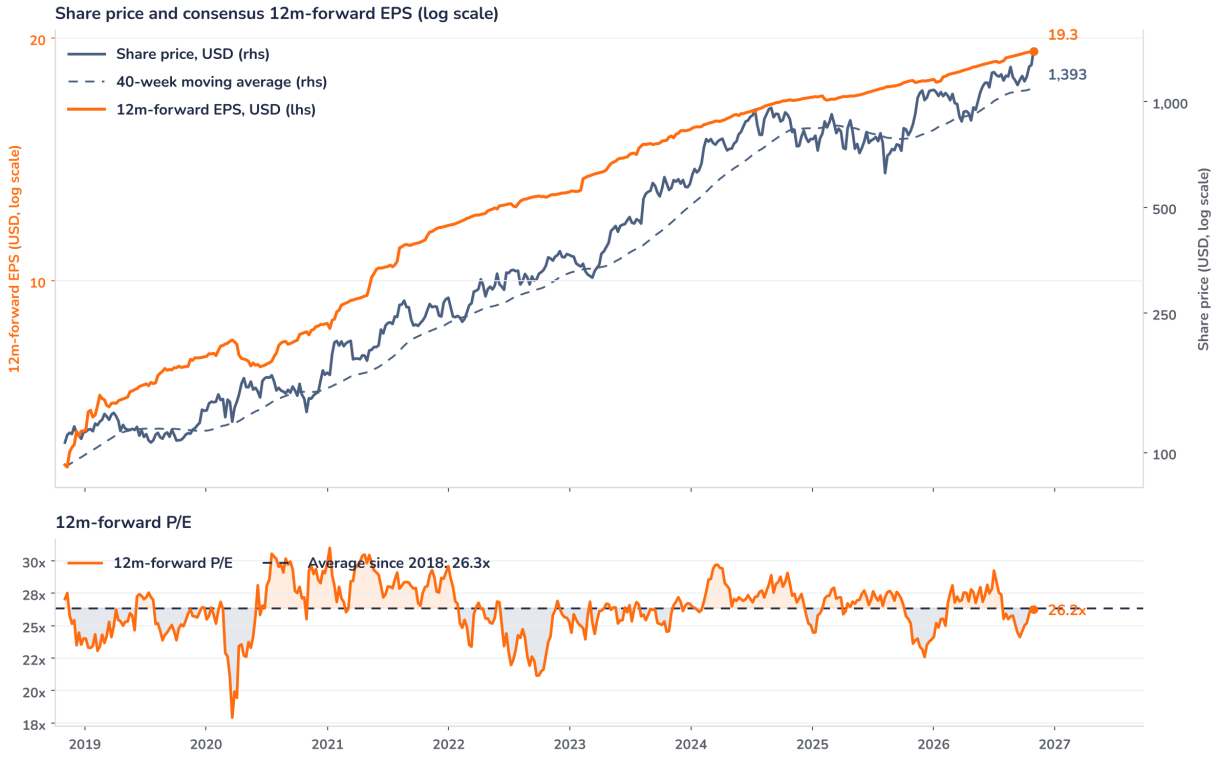
Outlook: the raised guide still looks cautious

Lilly now guides 2026 revenue at USD 91 to 92bn, from USD 85 to 87bn, and non-GAAP EPS at USD 35.00 to 36.00, from USD 35.50 to 36.50. The lower EPS range reflects the Q3 research charge of USD 4.57 per share; on our arithmetic the underlying EPS outlook rose by about USD 4. Against nine-month revenue of USD 67.2bn, the midpoint implies Q4 revenue of about USD 24.3bn, flat on Q3, and Q4 EPS of about USD 11.10, below the USD 12.05 Q3 figure before research charges. A higher tax rate guide of 19 to 20% explains part of that gap.

Valuation: earnings carried the rally

Chart 2 · LLY: share price vs. consensus earnings and valuation

LLY US Equity, weekly from November 2018 (first consensus EPS) · BEst 12m-forward consensus · 40-week simple MA · log scale · P/E shaded above (orange) / below (blue) its 2018 to 2026 average · last point is the 29 October intraday price, after the release



The shares trade at a record USD 1,393, 69% above the level of a year ago and 27% above the 40-week moving average of USD 1,097. The 12m-forward P/E stands at 26.2x on Bloomberg data, in line with the 26.3x average since 2018 and the 26.0x one-year average, and well below the 31.0x peak of January 2021. A year ago the multiple stood at 25.2x, so earnings growth delivered most of the gain. On the 2026 EPS guidance midpoint of USD 35.50 the shares trade at 39x, a multiple that 2027 growth has to bring down quickly.

SYZ Source: Syz Research, Bloomberg, company filings, Eli Lilly results release of 29 October 2026, analyst research notes of 5 August to 29 October 2026

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